

Accounting for Receivables

Chapter 9

Chapter 9 Learning Objectives

CONCEPTUAL

- C1** Describe accounts receivable and how they occur and are recorded.
- C2** Describe a note receivable, the computation of its maturity date, and the recording of its existence.
- C3** Explain how receivables can be converted to cash before maturity.

ANALYTICAL

- A1** Compute accounts receivable turnover and use it to help assess financial condition.

PROCEDURAL

- P1** Apply the direct write-off method to accounts receivable.
- P2** Apply the allowance method to accounts receivable.
- P3** Estimate uncollectibles based on sales and accounts receivable.
- P4** Record the honoring and dishonoring of a note and adjustments for interest.

Learning Objective

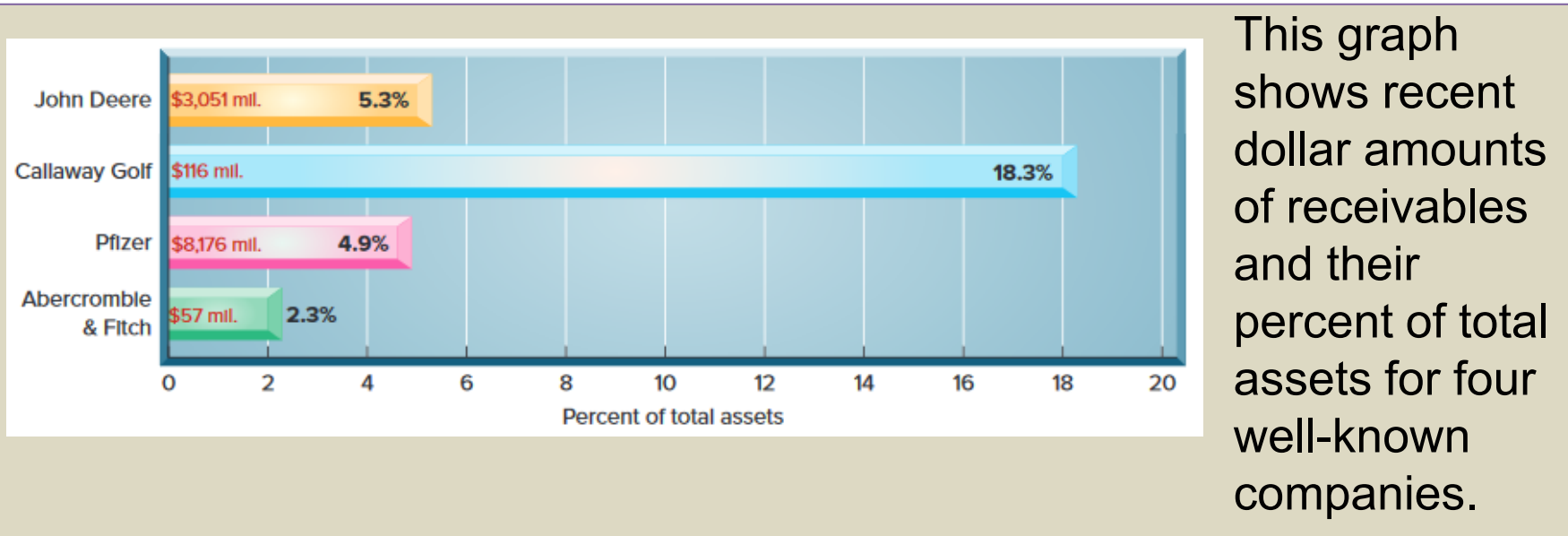
C1:

Describe accounts receivable
and how they occur and are
recorded.

Valuing Accounts Receivable

Exhibit
9.1

A receivable is an amount due from another party.



A company must also maintain a separate account for each customer that tracks how much that customer purchases, has already paid, and still owes.

Sales on Credit

On July 1, TechCom had a credit sale of \$950 to CompStore and a collection of \$720 from RDA Electronics from a prior credit sale.

July 1	Accounts Receivable—CompStore.....	950	
	Sales		950
	<i>To record credit sales.*</i>		
July 1	Cash	720	
	Accounts Receivable—RDA Electronics		720
	<i>To record collection of credit sales.</i>		

* We omit the entry to Dr. Cost of Sales and Cr. Merchandise Inventory to focus on sales and receivables.

Sales on Credit

July 1	Accounts Receivable—CompStore.....	950	
	Sales		950
	<i>To record credit sales.*</i>		
July 1	Cash	720	
	Accounts Receivable—RDA Electronics		720
	<i>To record collection of credit sales.</i>		

General Ledger				
Accounts Receivable				
Date	PR	Debit	Credit	Balance
June 30		3,000		3,000
July 1		950		3,950
July 1			720	3,230

Exhibit 9.4

Accounts Receivable Ledger				
RDA Electronics				
Date	PR	Debit	Credit	Balance
June 30		1,000		1,000
July 1			720	280

CompStore				
Date	PR	Debit	Credit	Balance
June 30		2,000		2,000
July 1		950		2,950

TechCom	
Schedule of Accounts Receivable	
RDA Electronics.....	\$ 280
CompStore.....	2,950
Total.....	<u>\$3,230</u>

Sales on Bank Credit Card

On July 15, TechCom has \$100 of credit card sales with a 4% fee, and its \$96 cash is received immediately on deposit.

July 15	Cash	96
	Credit Card Expense	4
	Sales	
	<i>Record credit card sales less a 4% credit card expense.*</i>	

* We omit the entry to Dr. Cost of Sales and Cr. Merchandise Inventory to focus on credit card expense.

Sales on Installment

Amounts owed by customers from credit sales for which payment is required in periodic amounts over an extended time period. The customer is usually charged interest.

Learning Objective

P1:

Apply the direct write-off
method to accounts
receivable.

Direct Write-Off Method

Some customers may not pay their account.
Uncollectible amounts are referred to as bad debts.

There are two methods of
accounting for bad debts:

- Direct Write-Off Method
- Allowance Method

Direct Write-Off Method - Recording and Writing Off Bad Debts

TechCom determines on January 23 that it cannot collect \$520 owed to it by its customer J. Kent.

Jan. 23	Bad Debts Expense	520	
	Accounts Receivable—J. Kent		520
	<i>To write off an uncollectible account.</i>		

Notice that the specific customer is noted in the transaction so we can make the proper entry in the customer's Accounts Receivable subsidiary ledger.

Direct Write-Off Method – Recovering a Bad Debt

On March 11, J. Kent was able to make full payment to TechCom for the amount previously written-off.

Mar. 11	Accounts Receivable—J. Kent	520	
	Bad Debts Expense		520
	<i>To reinstate account previously written off.</i>		
Mar. 11	Cash	520	
	Accounts Receivable—J. Kent		520
	<i>To record full payment of account.</i>		

Matching vs. Materiality

Expense recognition principle requires expenses to be reported in the same accounting period as the sales they helped produce.

Materiality constraint states that an amount can be ignored if its effect on the financial statements is unimportant to users' business decisions.

The direct write-off method usually does not best match sales and expenses.

Learning Objective

P2:

Apply the allowance method to
accounts receivable.

Allowance Method

At the end of each period, **estimate** total bad debts expected to be realized from that period's sales.

Two advantages to the allowance method:

1. It records estimated bad debts expense in the period when the related sales are recorded.
2. It reports accounts receivable on the balance sheet at the estimated amount of cash to be collected.

Allowance Method - Recording Bad Debts Expense

TechCom had credit sales of \$300,000 during its first year of operations. At the end of the first year, \$20,000 of credit sales remained uncollected. Based on the experience of similar businesses, TechCom estimated that \$1,500 of its accounts receivable would be uncollectible.

Dec. 31	Bad Debts Expense	1,500	
	Allowance for Doubtful Accounts		1,500
	<i>To record estimated bad debts.</i>		

Accounts Receivable		Allowance for Doubtful Accounts	
Dec. 31	20,000		Dec. 31 1,500

Balance Sheet Presentation

Exhibits
9.6 & 9.7

TechCom had credit sales of \$300,000 during its first year of operations. At the end of the first year, \$20,000 of credit sales remained uncollected. Based on the experience of similar businesses, TechCom estimated that \$1,500 of its accounts receivable would be uncollectible.

Current assets

Accounts receivable.....	\$20,000	
Less allowance for doubtful accounts	<u>1,500</u>	\$18,500

Current assets

Accounts receivable (net of \$1,500 doubtful accounts)	\$18,500
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Allowance Method – Writing Off a Bad Debt

TechCom has determined that J. Kent's \$520 account is uncollectible.

Jan. 23	Allowance for Doubtful Accounts	520	
	Accounts Receivable—J. Kent.....		520
	<i>To write off an uncollectible account.</i>		

Accounts Receivable			
Dec. 31	20,000	Jan. 23	520

Allowance for Doubtful Accounts			
Jan. 23	520	Dec. 31	1,500

Writing Off a Bad Debt

Exhibit
9.8

The write-off does not affect the realizable value of accounts receivable.

	Before Write-Off	After Write-Off
Accounts receivable	\$ 20,000	\$ 19,480
Less allowance for doubtful accounts	<u>1,500</u>	<u>980</u>
Realizable value of accounts receivable	<u>\$18,500</u>	<u>\$18,500</u>

Allowance Method - Recovering a Bad Debt

To help restore credit standing, a customer sometimes pays all or part of the amount owed on an account even after it has been written off.

On March 11, Kent pays in full his \$520 account previously written off.

Mar. 11	Accounts Receivable—J. Kent	520	
	Allowance for Doubtful Accounts		520
	<i>To reinstate account previously written off.</i>		
Mar. 11	Cash	520	
	Accounts Receivable—J. Kent		520
	<i>To record full payment of account.</i>		

Learning Objective

P3:

Estimate uncollectibles based
on sales and accounts
receivable.

Estimating Bad Debts Expense

Two Methods

1. Percent of Sales Method
2. Accounts Receivable Methods
 - Percent of Accounts Receivable
 - Aging of Accounts Receivable

Percent of Sales Method

Bad debts expense is computed as follows:

	Current Period Sales
×	Bad Debt %
=	Estimated Bad Debts Expense

Percent of Sales Method

Musicland has credit sales of \$400,000 in 2017. It is estimated that 0.6% of credit sales will eventually prove uncollectible.

Let's look at recording Bad Debts Expense for 2017.

$$\begin{array}{r}
 \$ \quad 400,000 \\
 \times \quad \quad 0.6\% \\
 \hline
 = \quad \$ \quad 2,400
 \end{array}$$

Musicland's accountant computes estimated Bad Debts Expense of \$2,400.

Dec. 31	Bad Debts Expense	2,400	
	Allowance for Doubtful Accounts		2,400
	<i>To record estimated bad debts.</i>		

Percent of Receivables Method

Compute the estimate of the Allowance for Doubtful Accounts.

Year-end Accounts Receivable x Bad Debt %
Bad Debts Expense is computed as:

Total Estimated Bad Debts Expense
– Previous Balance in Allowance Account
= Current Bad Debts Expense

Percent of Receivables Method

Exhibit
9.10

Musicland has \$50,000 in accounts receivable and a \$200 credit balance in Allowance for Doubtful Accounts on December 31, 2017. Past experience suggests that 5% of receivables are uncollectible.

Desired balance in Allowance for Doubtful Accounts.

$$\begin{array}{r}
 \$ \quad 50,000 \\
 \times \quad 5.00\% \\
 \hline
 = \$ \quad 2,500
 \end{array}$$

Allowance for Doubtful Accounts			
		Dec. 31, 2016, bal.	2,200
Feb. 6	800		
July 10	700		
Nov. 20	500		
		Unadjusted bal.	200
		Dec. 31 adjustment	2,300
		Dec. 31, 2017, bal.	2,500

Dec. 31*	Bad Debts Expense	2,300	
	Allowance for Doubtful Accounts		2,300
	<i>Record estimated bad debts.</i>		

Aging of Receivables Method

Classify each receivable by how long it is past due.

Each age group is multiplied by its estimated bad debts percentage.

Estimated bad debts for each group are totaled.

Aging of Accounts Receivable

Exhibit
9.11

MUSICLAND Schedule of Accounts Receivable by Age December 31, 2017						
Customer	Totals	Not Yet Due	1 to 30 Days Past Due	31 to 60 Days Past Due	61 to 90 Days Past Due	Over 90 Days Past Due
Carlie Abbott.....	\$ 5,890	\$ 5,890				
Jamie Allen.....	710			\$ 710		
Chavez Andres.....	10,500	10,300	\$ 200			
Balcia Company.....	2,800				\$1,900	\$ 900
Texas Rawhide.....	9,100		6,110	2,990		
Zamora Services.....	21,000	20,810	190			
Total receivables.....	\$50,000	\$37,000	\$6,500	\$3,700	\$1,900	\$ 900
Percent uncollectible.....		× 2%	× 5%	× 10%	× 25%	× 40%
Estimated uncollectible...	\$ 2,270	\$ 740	\$ 325	\$ 370	\$ 475	\$ 360

Each receivable is grouped by how long it is past its due date.

Each age group is multiplied by its estimated bad debts percent.

Estimated bad debts for each group are totaled.

Aging of Accounts Receivable

Step 1: Determine what current balance equals: \$200 credit.

Step 2: Determine what the account balance should be: \$2,270.

Step 3: Make adjusting entry to get from step 1 to step 2:
 $\$2,270 - 200 = \$2,070$.

Allowance for Doubtful Accounts	
	200
	2,070
	2,270

Dec. 31	Bad Debts Expense	2,070	
	Allowance for Doubtful Accounts		2,070
	<i>To record estimated bad debts.</i>		

Aging of Accounts Receivable

Step 1: Determine what current balance equals: \$500 debit.

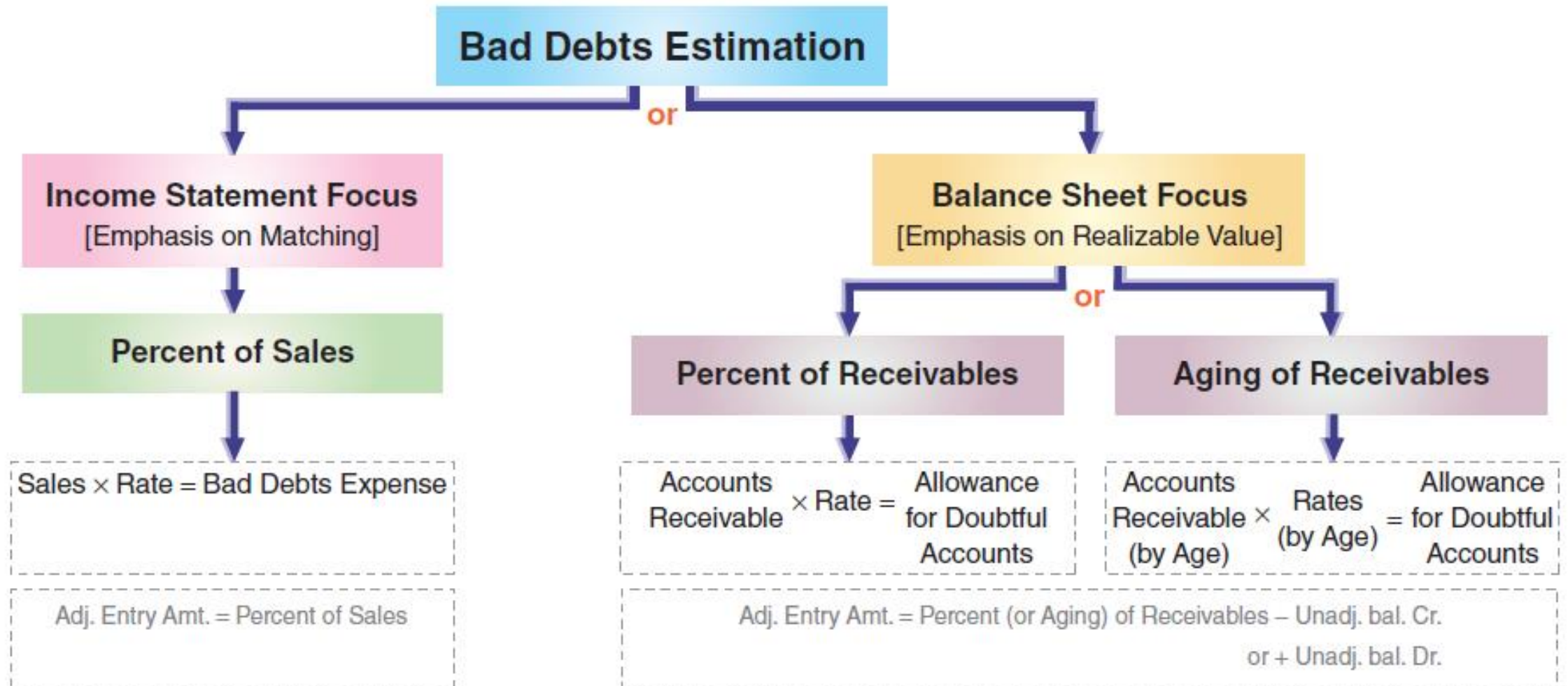
Step 2: Determine what the account balance should be: \$2,270.

Step 3: Make adjusting entry to get from step 1 to step 2:
 $\$2,270 + 500 = \$2,770$.

Allowance for Doubtful Accounts	
500	
	2,770
	2,270

Dec. 31	Bad Debts Expense	2,770	
	Allowance for Doubtful Accounts		2,770
	<i>Record estimated bad debts.</i>		

Summary of Methods



Learning Objective

C2:

Describe a note receivable, the computation of its maturity date, and the recording of its existence.

Notes Receivable

Exhibit
9.14

A promissory note is a written promise to pay a specified amount of money, usually with interest, either on demand or at a stated future date.

Promissory Note

Amount: \$1,000 **Date:** July 10, 2017

Ninety days after date I promise to pay to the order of

TechCom Company
Los Angeles, CA

One thousand and no/100 Dollars

for value received with interest at the annual rate of 12%

payable at First National Bank of Los Angeles, CA

Julia Browne

Principal
Date of note
Due date
Payee
Interest rate
Maker

Computing Maturity and Interest

Exhibit
9.15

The maturity date of a note is the day the note (principal and interest) must be repaid.

On July 10, TechCom received a \$1,000, 90-day, 12% promissory note as a result of a sale to Julia Browne.

Days in July	31	
Minus the date of the note	<u>10</u>	
Days remaining in July	21	← July 11–31
Add days in August	31	← Aug. 1–31
Add days in September	30	← Sept. 1–30
Days to equal 90 days, or maturity date of October 8	<u>8</u>	← Oct. 1–8
Period of the note in days	<u><u>90</u></u>	

The note is due and payable on October 8.

Interest Computation

$$\text{Principal of the note} \times \text{Annual interest rate} \times \text{Time expressed in fraction of year} = \text{Interest}$$

Even for maturities less than one year, the rate is annualized.

If the note is expressed in days, base a year on 360 days using the “banker’s rule.”

$$\$1,000 \times 12\% \times \frac{90}{360} = \$1,000 \times 0.12 \times 0.25 = \$30$$

Recording Notes Receivable

Notes receivable are usually recorded in a single Notes Receivable account to simplify recordkeeping. The original notes are kept on file, including information on the maker, rate of interest, and due date.

To illustrate the recording for the receipt of a note, we use the \$1,000, 90-day, 12% promissory note from Julia Browne to TechCom. TechCom received this note at the time of a product sale to Julia Browne.

July 10*	Notes Receivable	1,000	
	Sales		1,000
	<i>Sold goods in exchange for a 90-day, 12% note.</i>		

* We omit the entry to Dr. Cost of Sales and Cr. Merchandise Inventory to focus on sales and receivables.

Learning Objective

P4:

Record the honoring and dishonoring of a note and adjustments for interest.

Recording an Honored Note

The principal and interest of a note are due on its maturity date.

J. Cook has a \$600, 15%, 60-day note receivable due to TechCom on December 4.

Dec. 4	Cash	615	
	Notes Receivable		600
	Interest Revenue		15
	<i>Collect note with interest of $\\$600 \times 15\% \times 60/360$.</i>		

Recording a Dishonored Note

The act of dishonoring a note does not relieve the maker of the obligation to repay the principal and interest due.

J. Cook has a \$600, 15%, 60-day note receivable due to TechCom on December 4.

Dec. 4	Accounts Receivable—J. Cook	615	
	Interest Revenue		15
	Notes Receivable		600
	<i>To charge account of J. Cook for a dishonored note</i>		
	<i>and interest of $\\$600 \times 15\% \times 60/360$.</i>		

Recording End-of-Period Interest Adjustments

On December 16, TechCom accepts a \$3,000, 60-day, 12% note from a customer in granting an extension on a past-due account. When TechCom's accounting period ends on December 31, \$15 of interest has accrued on the note.

$$\$3,000 \times 12\% \times 15/360 = \$15$$

Dec. 31	Interest Receivable Interest Revenue <i>To record accrued interest earned.</i>	15 15
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Recording End-of-Period Interest Adjustments

Days in December	31	
Minus the date of the note	<u>16</u>	
Day remaining in December		15
Days in January		31
Days in February		<u>14</u>
Period of the note in days		<u>60</u>

Recording collection on note at maturity.

Feb. 14	Cash	3,060	
	Interest Revenue		45
	Interest Receivable		15
	Notes Receivable		3,000
	<i>Received payment of note and its interest.</i>		

$$\text{\$3,000} \times 12\% \times 60/360 = \text{\$60}$$

Learning Objective

C3:

Explain how receivables can be converted to cash before maturity.

Disposal of Receivables

Companies can convert receivables to cash before they are due.

**Selling
Receivables**

**Pledging
Receivables**

Learning Objective

A1:

Compute accounts receivable turnover and use it to help assess financial condition.

End of Chapter 9

Accounts Receivable Turnover

This ratio provides useful information for evaluating how efficient management has been in granting credit to produce revenue.

$$\text{Accounts receivable turnover} = \frac{\text{Net sales}}{\text{Average accounts receivable, net}}$$

Exhibit
9.19

Company	Figure (\$ millions)	2015	2014	2013	2012
IBM	Net sales.....	\$81,741	\$92,793	\$98,367	\$102,874
	Average accounts receivable, net.....	\$ 8,712	\$ 9,778	\$10,566	\$ 10,923
	Accounts receivable turnover.....	9.4	9.5	9.3	9.4
Oracle	Net sales.....	\$38,226	\$38,275	\$37,180	\$ 37,121
	Average accounts receivable, net.....	\$ 5,618	\$ 6,068	\$ 6,213	\$ 6,503
	Accounts receivable turnover.....	6.8	6.3	6.0	5.7